

ECON0050: Economics of the Public Sector

Term 1 (Fall 2024)

Public sector economics studies the collective decisions made by societies and how governments implement these choices through public policies. When is the market efficient, and when should the government intervene in the economy? How efficient are governments themselves, and, as the BBC's Evan Davis famously mused, "why is Sainsbury's so much better at selling food than most of our schools are at teaching children?" Why, despite extensive social programs, do social (in)equities persist?

Lecturer

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This Module

Content

This module will provide you with an understanding of the economics of public goods, public expenditure and public services. You will explore some fundamental questions about the aims and tools of public policy. You will develop the ability to analyse and understand key issues in this field using standard tools of theoretic and empirical economic analysis, corresponding to the level taught in core second-year economics modules. Specifically, we will aim to understand

- the size and functions of the public sector;
- the economic theory of public goods, in particular efficient provision;
- redistribution and of incentive problems that arise as a result of redistributive policy; and
- the role of the public sector in the provision of education and other public services.

Aims

By the end of the course, you will be able to use your economic knowledge to independently critique problems and policy solutions in the public sector and understand the implications for the wider economy. In particular, you will

- explain, using economic tools and empirical evidence, why governments intervene in the economy;
- independently investigate and critically comment on a range of current debates relating to public policy;

- consolidate and deepen your critical thinking abilities, creativity, communication, teamwork, and time management skills;
- write clear and well-structured economic essays; and
- confidently discuss economic ideas with your peers.

Prerequisites

ECON0002: Economics or equivalent. Students should also have taken (or be concurrently taking) ECON0013: Microeconomics or equivalent.

Structure

Weekly Lectures

Mondays, 14:00-16:00 in Medical Sciences Building 131 (A.V. Hill Lecture Theatre)

In the first half of each lecture, I will present key concepts and models as well as real-world applications. In the second half, we will work to deepen your understanding of the week's topics in a more interactive fashion, through either (i) *guest lectures* delivered by experts from academia or the policy sphere, or (ii) *hands-on activities* such as small-group discussions, practice problems, and live economic experiments (games!). Please bring a laptop or tablet to lecture in order to participate in the activities. Assessments will build on concepts discussed in lecture, and your in-person attendance is also vital to writing an insightful, and thus highly-marked, essay!

Tutorials

Check Moodle or the [UCL Timetable](#) for your assigned tutorial.

The four one-hour tutorials give students hands-on opportunities to develop presentation, reading, and essay-writing skills. You will work in small groups to practice answering quiz-style questions as well as writing and communication skills – exactly those you will need to succeed on the assessments. Attendance in tutorials is expected. Your active participation is vital to the success of the course; to that end, we will post details of “pre-work” required to be completed before each tutorial on Moodle. You do not submit the work prepared for marking, but it is in your own interest to complete it. *Please contact the module administrator, Rich Maskell (r.maskell@ucl.ac.uk), with any queries related to tutorial group allocation.*

Weekly Quizzes

After each lecture, a revision quiz will be made available on Moodle. These quizzes will allow you to self-assess your knowledge and may help generate ideas for your essay. Quizzes are not formally assessed but you are strongly encouraged to participate.

Contacting Us

Your teaching team is here to help! Your two best avenues for clarifying course logistics or catching up on course material are:

Student Forum [via Moodle]

Please use the Moodle forum for logistical questions as well as comments and clarifications regarding course content. The teaching team will regularly check Moodle and respond. This format allows the *entire class* to benefit from our responses, so we do ask that you please *avoid email* for logistical and content-related questions. Email should be reserved for personal matters.

Office Hours

For more in-depth conversations, each member of the teaching will hold weekly office hours as follows.¹

Lucas [Lecturer]: Mondays 17:30-19:00 [John Adams Hall, Room G27]

Vrinda Anand [PGTA]: Wednesdays, 15:00-16:00 [Drayton House, Room G07]

Aaron Tang [PGTA]: Fridays, 10:00-11:00 [Drayton House, Room G07]

Assessment

Final marks will depend on two assessments:

Moodle Quiz [Mon., 11 Nov., 14:00-14:45, 35%]

45-minute open-book Moodle-based online quiz on Week 1-5 material, excluding guest lectures. Any material covered during regular lectures, in the lecture slides, required readings, weekly revision quizzes, or tutorials is fair game. The quiz will feature multiple choice questions as well as other types of questions, such as true or false, short answers, or fill-in-the-blanks requiring calculations.

Individual Take-Home Essay [Due Wed., 11 Dec. at 17:00, 65%]

1,500-word essay responding to one of several prompts requiring you to evaluate claims and policy proposals or make policy recommendations. Successful essays will draw on models, real-world examples, and literature references discussed in the course *as well as* guest lectures. The marking scheme and prompts will be released by *Mon., 11 Nov. at 17:00*, and essays will be submitted via Moodle.

Calendar

Week	Week Starting	1st hour	2nd hour	Tutorial	Deadlines
1	30 Sept.	<i>Lecture 1: Why Public Economics?</i>	<i>Discussion: Facts About Government</i>		
2	7 Oct.	<i>Lecture 2: Externalities</i>	<i>Experiment: Pollution</i>		

¹ Office hours begin the week of 7 Oct. but will *not* be held during reading week (4-8 Nov.).

3	14 Oct.	Lecture 3: Public Goods	Experiment: Public Goods	1. Feedback Session: Lec. 1-2	
4	21 Oct.	Lecture 4: Social Insurance and Asymmetric Information	Group Work: Asymmetric Info Problems		
5	28 Oct.	Lecture 5: Healthcare Provision	Discussion: Comparing the NHS	2. Feedback Session: Lec. 3-4	
	4 Nov.	Reading week			
6	11 Nov.	Moodle Quiz, 11 Nov., 14:00-14:45		3. Outlining Your Essay	Essay prompt/scheme posted, 11 Nov. 17:00
7	18 Nov.	Guest Lecture: Oliver Anderson on education and labour market pathways	Guest Lecture: Xin Shao on COVID educational inequalities		
8	25 Nov.	Lecture 6: Poverty, Inequality, and Transfers	Guest Lecture: Bee Boileau on Intergenerational Inequalities	4. Writing Workshop	
9	2 Dec.	Lecture 7: Spatial Inequality	Guest Lecture: Xiaowei Xu		
10	9 Dec.	Lecture 8: Ageing and Pensions	Group Work: ChatGPT and Pensions		Take-Home Essay due 11 Dec., 17:00

Policies: Adjustments, Exceptions, Technical Issues

Should you require any academic or exam adjustments, please contact UCL's Student Support and Wellbeing team in order to set up a *Statement of Reasonable Adjustments* as soon as possible, and well in advance of the corresponding assessment deadline (see [Academic Manual Ch. 2.4](#)). For short-term illness and other extenuating circumstances, please submit claims as outlined in [Academic Manual Ch. 2.3](#). Note that claims must be submitted as soon as possible and no later than one week after an assessment deadline. For late submissions without an approved extenuating circumstance, standard late submission penalties outlined in the [Student Regulations for Exams and Assessments](#) for 'In-Class Activity' and 'Coursework, Dissertations/Research Projects and other assessments' will apply. Technical failures during assessments are subject to the standard policies also outlined in the [Student Regulations for Exams and Assessments](#); more detailed instructions to follow.

Readings

The **primary textbooks** for this class is

- Gruber, Jonathan. *Public Finance and Public Policy*. 7th ed. New York: Worth Publishers, 2022. [Available online via UCL Library](#).

You are expected to read the chapters from this textbook as well as any other readings listed as “*required*” for each week. Any readings not available online via the UCL Library will be posted on Moodle. The reading list also provides suggestions of optional readings from some of the following additional potentially useful textbooks:

- Cullis, John G. and Philip R. Jones. *Public Finance and Public Choice: Analytical Perspectives*. 3rd ed. Oxford: Oxford University Press, 2009. **[Nice graphical explanations of some models we cover.]**
- Hindriks, Jean and Gareth D. Myles. *Intermediate Public Economics*. 2nd ed. Cambridge: The MIT Press, 2013. [Available online via UCL Library](#).
- Musgrave, Peggy B. and Richard A. Musgrave. *Public Finance in Theory and Practice*. 5th ed. New York: McGraw Hill, 1989.
- Rosengard, Jay K. and Joseph E. Stiglitz. *Economics of the Public Sector*. 4th ed. New York: W.W. Norton & Company, 2015. [Available online via UCL Library](#).
- Le Grand, Julian, Carol Propper, and Sarah Smith. *The Economics of Social Problems*. 4th ed. London: Red Globe Press, 2008. **[Interesting policy applications!]**

These additional readings are intended for students who would like to go deeper on a topic. If the main readings and/or lectures leave you confused, the additional readings might help clarify by providing an alternative treatment of similar material.

Week 1. Why Public Economics?

Required:

- Gruber Ch. 1, “Why Study Public Finance” and Ch. 2, “Theoretical Tools of Public Finance.”

Optional:

- Stiglitz and Rosengard Ch. 1, “Defining Public Sector Responsibilities,” Ch. 3, “Market Efficiency,” Ch. 4, “Market Failure,” Ch. 10, “Framework for Analysis of Expenditure Policy.”
- Hindriks and Myles Ch. 5, “Theories of the Public Sector.”
- Le Grand et al. Ch. 1, “Social Objectives and the Allocation of Resources” and Ch. 10, “The Market and the Government”
- Thomas A. Garrett and Russell M. Rhine (2006), “On the Size and Growth of Government,” *Federal Reserve Bank of St. Louis Review*, January/February 2006, 88(1), pp.13-30. <http://research.stlouisfed.org/publications/review/article/5018>

Week 2. Externalities

Required:

- Gruber Ch. 5, "Externalities: Problems and Solutions" and Ch. 6, "Externalities in Action: Environmental and Health Externalities."

Optional:

- Hindriks and Myles Ch. 8, "Externalities."
- Stiglitz and Rosengard Ch. 6, "Externalities and the Environment."
- Musgrave and Musgrave Ch. 35, "Public Pricing and Environmental Policy."
- Le Grand et al. Ch. 8, "Climate Change."

Week 3. Public Goods

Required:

- Gruber Ch. 7, "Public Goods."

Optional:

- Hindriks and Myles Ch. 6, "Public Goods."
- Stiglitz and Rosengard Ch. 5, "Public Goods and Publicly Provided Private Goods."
- Le Grand et al. Ch. 7, "Road Congestion."

Week 4. Social Insurance and Asymmetric Information

Required:

- Gruber Ch. 12, "Social Insurance: The New Function of Government."

Optional:

- Hindriks and Myles Ch. 10, "Asymmetric Information."

Week 5. Healthcare Provision

Required:

- Le Grand et al. Ch. 2, "Health Care." **[posted on Moodle.]**

Optional:

- Schneider, Eric C., Arnav Shah, Michelle M. Doty, Roosa Tikkanen, Katharine Fields, and Reginald D. Williams II. *Mirror, Mirror 2021: Reflecting Poorly*. The Commonwealth Fund, 2021. <https://www.commonwealthfund.org/publications/fund-reports/2021/aug/mirror-mirror-2021-reflecting-poorly>.
- Anandaciva, Siva. *How does the NHS compare to the health care systems of other countries?*. The King's Fund, 2023. https://www.kingsfund.org.uk/sites/default/files/2023-06/How_NHS_compare_2023.pdf.
- Gruber Ch. 15, "Health Insurance I: Health Economics and Private Health Insurance."

Week 7. Education

Required:

- Gruber Ch. 11, "Education."

Optional:

- Le Grand et al. Ch. 3, "Education."

Week 8. Poverty, Inequality, and Transfers

Required:

- Gruber Ch. 17, "Income Distribution and Welfare Programs."

Optional:

- Hindriks and Myles Ch. 14, "Inequality and Poverty."
- Stiglitz and Rosengard Ch. 7, "Efficiency and Equity."
- Le Grand et al. Ch. 9, "Poverty and Welfare."
- O'Dea, C. and Preston (2010): "The distributional impact of public spending in the UK", IFS Working Paper W12/06.
https://ifs.org.uk/sites/default/files/output_url_files/wp1206.pdf.
- *IFS Deaton Review*. Institute for Fiscal Studies, 2023. <https://ifs.org.uk/inequality/>.

Week 9. Spatial Inequality

Required:

- Stansbury, Anna, Dan Turner, and Ed Balls. "Tackling the UK's regional economic inequality: binding constraints and avenues for policy intervention." *Contemporary Social Science* (2023): 1-39.

Optional:

- Overman, Henry G. and Xiaowei Xu. "Spatial disparities across labour markets." *Oxford Open Economics* 3 (2024): i585-i610.
- Moretti, Enrico. *Place-based policies and geographical inequalities*. IFS Deaton Review of Inequalities. The Institute for Fiscal Studies, 2022.

Week 10. Ageing and Pensions

Required:

- Le Grand et al. Ch. 4, "Pensions." **[posted on Moodle.]**

Optional:

- Gruber Ch. 13, "Social Security."
- Hindriks and Myles Ch. 23, "Social Security."
- Stiglitz and Rosengard Ch. 16, "Social Insurance."